THE ECONOMIC TIMES wealth

Why many Indian students are reimagining their global dreams

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How employees, organisations are bracing up for new Labour Codes

The framework is in force, but employers face issues in implementing some provisions and await the final rules.

HOMI MISTRY
PARTNER,
DELOITTE INDIA

Overall, the new Codes signify a shift toward a more structured, transparent, and streamlined regulatory ecosystem. While strengthening worker protection and enhancing governance clarity, they also heighten compliance obligations and cost considerations for employers.

India's labour ecosystem has entered a new era with the government's decision to merge 29 central labour laws into four comprehensive Labour Codes, as notified on 21 November 2025.

This consolidation marks a fundamental shift in India's industrial regulatory landscape, aiming to simplify compliance, reduce interpretational disputes, and create a uniform framework for employers and workers across the country.

The four Codes—the Code on Wages, the Industrial Relations Code, the Code on Social Security, and the Occupational Safety, Health and Working Conditions (OSH) Code—are designed to modernise labour administration while responding to the needs of a growing and increasingly diverse workforce. These Codes came into effect from 21 November last year, with draft rules being issued on 30 December. The government has also issued a set of frequently asked questions (FAQs) relating to the new codes to bring certain clarity in the manner of computing wages.

With the final rules yet to be issued, employers are facing challenges in implementing the provisions of these codes.

The challenges

- **Wage definition:** While the government's intent as per the FAQs seems to be to restrict the wages to 50% of remuneration, the same has not been incorporated in the law itself. Hence, it becomes imperative that the law is made clear to incorporate this intent.
- **Provident fund implications:** Organisations where domestic employees earn wages below ₹15,000 per month face uncertainty over potential reduction in net take-home pay. Under the draft rules of the Code on Social Security, employers are expressly prohibited from reducing an employee's net take-home salary on account of statutory contributions. This creates ambiguity where provident fund (PF) contributions—now linked to the revised wage definition—could otherwise lower the employees' take-home pay, prompting employers to carefully evaluate how to remain compliant while avoiding any adverse impact on employees' net earnings. For international workers, PF must be computed on wages rather than gross salary, raising questions about whether lowering contributions may be perceived as reducing employee benefits. Given such uncertainties, many organisations may prefer to maintain current contribution levels until further clarity is obtained.
- **Increase in gratuity cost:** Gratuity outflows for employers are likely to rise under the expanded wage definition, and this impact may extend retrospectively since gratuity obligations depend on the entire period of service. The Codes also extend gratuity entitlement to fixed-term employees who complete at least one year of service.

Leave encashment and overtime payments will be recalibrated under the new wage definition. Workers who complete at least 180 days of service in a year will qualify for leave with wages, and any leave exceeding 30 days must be mandatorily encashed. Overtime must be compensated at twice the ordinary rate of wages for work beyond eight hours per day or 48 hours per week, subject to a quarterly cap of 144 hours and requiring the employee's consent. Since these provisions apply specifically to workers rather than all employees, a detailed role-based workforce classification exercise becomes essential for organisations.

The redefined wage structure will also influence eligibility and calculations for Employees' State Insurance Corporation (ESIC) and statutory bonus. Since ESIC contributions were earlier calculated on gross salary and will now be based on wages, the employee coverage for ESIC would be increasing for organisations. Similarly, one would have to see the basis of coverage of employees for statutory bonus and whether the coverage for them would rise or fall.

Organisations that proactively adapt their compensation models, modernise compliance systems, and strengthen contractor governance will be better positioned.

Updating HR systems

Beyond financial considerations, the Codes require extensive updates to human resource (HR) policies dealing with working hours, leave rules, overtime, safety standards, and remote working.

Employers with 300 or more employees must prepare standing orders or adopt the government's model standing orders. The Codes also promote a digital-first compliance environment by introducing an Inspector-cum-Facilitator system, digital registers, and real-time monitoring mechanisms. As a result, organizations will need to upgrade HRMS platforms, payroll systems, and statutory reporting processes.

Overall, the new Codes signify a shift toward a more structured, transparent, and streamlined regulatory ecosystem. While strengthening worker protection and enhancing governance clarity, they also heighten compliance obligations and cost considerations for employers.

Organisations that proactively adapt their compensation models, modernise HR and compliance systems, and strengthen contractor governance will be better positioned to manage risks and ensure smooth implementation of the Labour Codes.

Niji Arora, Director, and Preeti Dawla, Assistant Manager–Deloitte India, contributed to this column.

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THE ECONOMIC TIMES
wealth

DEGREES *of* DANGER

The overseas education dream. Wars, visa bans, job losses. The stakes just rose. P2

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How NRIs can bring money back home in turbulent times P14

Homeward bound

Why many Indian students are reimagining their global dreams

Tighter visa rules and fewer post-study jobs are weighing on study-abroad plans.

Abhiprit Saha, 22, *Nabadwip*

FIRST CHOICE
United States

PROGRAMME
Graduation in Environmental and Resource Economics

CURRENT COURSE
Master's programme in Economics in the UK

REASONS FOR RETURNING TO INDIA
"Increasing uncertainty around visa policies, lack of long-term work opportunities in the US."

by **Preeti Kulkarni**

When Abhiprit Saha, 22, decided to pursue an undergraduate degree in Environmental and Resource Economics at the University of Massachusetts Amherst, his aim was to gain professional experience in the United States after completing his degree.

However, after graduating in December 2024, he decided to return to India. The reason? The increasing uncertainty around visa policies and long-term work opportunities in the US. "While the US offers strong professional exposure, the immigration pathway can be unpredictable for international students," he explains.

The shifting realities

In 2025 (June, July, and August), F-1 student visa issuances in the US for Indian students declined by 67% compared to the same period a year ago. For corporates, sponsoring H-1B visas has become more uncertain and expensive, amid policy changes and rising compliance costs. For students, this means an unclear post-study work pathway.

The United Kingdom, another major study destination, raised entry barriers in January 2024, especially for students' dependents. The financial requirements for students are also more stringent now—£1,529 per month (for up to 9 months) for courses in London and £1,171 per month (for up to 9 months) for courses outside London.

Take, for instance, the case of Bhavya Amin, who completed her MS in Finance and Investment Banking in 2024. After interning for a while, she decided to return to India last year. "The cost of living and working in the UK after graduation has gone up. If you want to continue working, you need an employer-sponsored visa, which has become expensive. At the same time, opportunities for foreign students have reduced, and inflation is high," she explains.

"While official data remains fragmented, rising visa rejection rates, a global tech slowdown and tightening post-study work policies have prompted students to return, particularly from the US, UK, Canada and Australia," says the founder of an education consultancy firm, speaking on the condition of anonymity. The dream of overseas education has lost some of its shine amid the changing economic and geopolitical scenarios. "Canada implemented study permit caps in 2024, the US tightened F1 approval processes, and the UK restricted visas for dependents. Fewer employers are willing to provide sponsorship, especially in the UK and Australia," says Eela Dubey, Co-founder, EduFund, an education counselling firm.

The situation is even tougher for students who may have enrolled in lower-ranking colleges and universities or "those with little-to-no placement support or industry networking," as Dubey puts it. "In addition, the persistent depreciation of the rupee has significantly increased the real-term burden of international education loans," she adds.

The shrinking job market clearly weighs on students' minds now. "Global hiring, especially in technology, is no longer as accommodating as earlier. Entry-level roles are harder to secure, and the pathway from degree to job to visa is far less predictable. What this creates is not a single barrier, but a combination of friction points. Students are responding rationally to that," says Rohan Ganeriwala, Co-founder, Collegify, an education consulting firm.

The rapid growth in artificial intelligence (AI) adoption has also contributed to a hiring dip in the traditional technology and consulting sectors globally. "This has reduced entry-level opportunities in some companies and sectors. Also, record-high rents and inflation in large cities across the US and the UK have made it financially unsustainable for many students to stay," says Dubey.

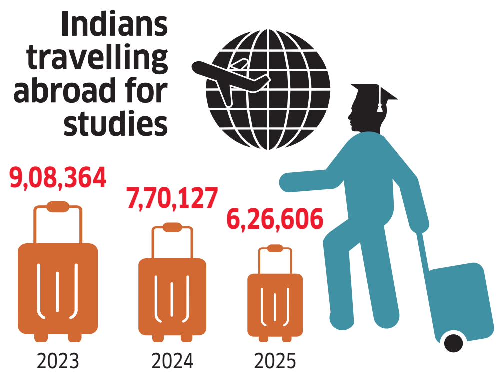
Overseas education reset

The tightening of visa norms, government policies and the post-study job scenario are increasingly prompting a rethink among parents and students who aspire to pursue global education. "Many of our clients are re-evaluating their plans. Those planning undergraduate studies overseas are now considering completing them in India and pursuing master's programmes abroad instead. These are shorter courses, so the financial outgo is lower," says Vishal Dhawan, Founder, Plan Ahead Wealth Advisors. "There is a clear slowdown in outbound mobility, with industry estimates suggesting that the number of Indian students going abroad has dipped by 25-30%," adds Ganeriwala.

According to the Ministry of Education, Government of India, the number of students travelling abroad to pursue higher education dipped from 9,08,364 in 2023 to 7,70,127

Outbound slowdown

The number of students travelling for studies abroad has seen a dip.



Source: Ministry of Education, India

in 2024 and to 6,26,606 in 2025. Given the less-than-welcome sentiment toward immigrants prevalent in the US, UK, and Canada, students are exploring destinations beyond the Big Four *(See page 6)*.

Students who are already abroad are also reassessing their options. "This is not a story of students being forced to come back. It is a story of students making more deliberate choices. Some are choosing not to extend their stay after graduation, and others are returning sooner than they might have a few years ago," adds Ganeriwala.

The current scenario has led to a shift in the mindsets of students and parents. "Earlier, international education was often linked to migration. Today, it is increasingly about education, exposure and optionality. Coming back to India is not always a forced outcome. In many cases, it is a conscious decision," he adds.

Amin, for instance, is satisfied with the exposure she received while pursuing her Master's programme. "Academically, the UK is a great place to study. The system is very different from India, it's less about rote learning and more about assignments, independent research and practical exposure, which really helps," she says.

Then, there are those who intend to join their family businesses and establish startups in India. "For many students, especially those from business families, there is a third path of transforming and scaling existing enterprises using global exposure. For those seeking a salaried job, Global Capability Centres (GCCs, offshore units set up by multinational companies in India to handle high-end functions such as technology, analytics, and research) are emerging as a lucrative option. They are hiring for highly skilled roles across AI, analytics, engineering and product design," says Ganeriwala.

The reality of ROI

Parents have always set aside funds to create an overseas education corpus for their children. Many also take out loans to cover any shortfall in funds and hope to pay them off once they start working in their destination countries. In the backdrop of the emerging visa and job scenarios abroad, however, they now need to plan for the post-study phase as well. Many might have to reset their return on 'investment' expectations.

"With education loans for foreign studies typically ranging from ₹30-80 lakh, monthly equated monthly instalments (EMIs) can

Bhavya Amin, 28, *Mumbai*

STUDY DESTINATION
United Kingdom

PROGRAMME
MS in Finance and Investment Banking

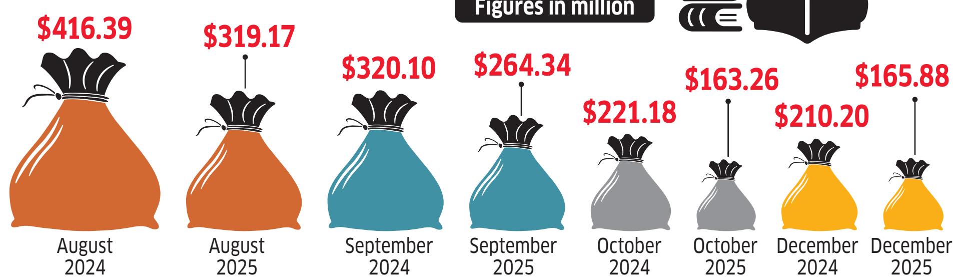
CURRENT PURSUIT
Employed with a wealth management firm

REASONS FOR RETURNING TO INDIA

"Employer-sponsored visas now more expensive; rise in overall cost of living and working in the UK."

Outward remittances for foreign education

Figures in million



Source: RBI

What's changing

US	UK	Global
• F-1 visas drop sharply • H-1B pathway more uncertain	• Dependents restricted (2024) • Higher financial requirements	• Fewer entry-level jobs • Tech hiring slowdown • High inflation & living costs

New pathways

Alternative destinations

Financial reality check

Education cost
₹30-80 lakh

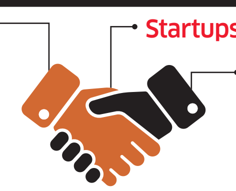
EMI/month
₹40,000-1 lakh

Time taken to repay study loans when you work......

Abroad: 3-5 years
In India: 10-15 years

Source: EduFund

The India pivot



reach ₹40,000 to ₹1 lakh. The 'currency mismatch' creates a significant debt trap; while a graduate earning in foreign currency might clear the debt in 3-5 years, those earning in rupees face a stretched repayment timeline of 10-15 years, impacting their long-term financial stability," says Dubey.

Amin, who currently works with a wealth management firm in India, acknowledges that salary ranges in the UK and India are not comparable, which affects loan repayments. "However, the relatively lower rent and inflation in India do ease the burden," she says.

Saha, who is pursuing a master's programme in the UK, intends to return to India for a career in business analytics. "I want to use the analytical and quantitative skills developed during my studies to help organisations or establish an organisation or maybe start a business of my own here," he says.

He is aware of the challenges of resetting salary expectations in India and managing education loans. "The repayment burden can be significant when transitioning back to the Indian job market," he says.

Ganeriwala feels families are far more conscious of return on investment now than they were five years ago. "Studying abroad today can cost anywhere between ₹45 to 90 lakh per year in countries like the US or the UK when you factor in tuition, living costs and currency fluctuations. Earlier, many students assumed that a foreign degree would automatically translate into a strong job outcome and long-term work opportunities. That assumption is now being questioned," he adds.

Other countries in Europe such as Germany, France and Netherlands are emerging as sought-after alternatives. "Besides strong academic outcomes at a lower cost, these countries offer clearer post-study pathways. Overall, this is less about restriction and more about maturity. Students and families are making more informed and economically rational decisions," points out Ganeriwala.

The way forward

For students returning to India, judicious use of salary to repay education loans and invest can play a stabilising role. Families that plan to send their children abroad for studies must start investing as early as possible—many start as soon as kids are born—to build a corpus capable of absorbing unforeseen shocks. "Invest in a mix of diversified equity funds, debt schemes and also international mutual funds at least 10-15 years prior to the goal to build an adequate kitty," says Dhawan. "As you get closer to the goal, it is critical to taper down the risk on the portfolio to avoid surprises that may emerge due to market volatility." Investments with a global edge can reduce the impact of rupee volatility. "This can be in the form of international stock exposure directly or through GIFT city instruments," says Dubey of EduFund.

Investing through such avenues can help mitigate the impact of rupee depreciation. "Additionally, it's important to think of your higher education abroad as a long-term financial plan. It is not just about the university or degree but also about the placement rates of these universities and whether the programmes you intend to pursue will yield job outcomes," she adds.

While your course of action after higher studies abroad depends on your needs and aspirations, meticulous financial planning, thrift and fortitude can help you navigate an unplanned return to India until you find your final calling.

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The 'Big' study abroad shift

Affordable options to the US and the UK have opened up in Europe and Southeast Asia for Indians.

by **Riju Mehta**

"US F-1 visas for Indian students drop 69% in June-July 2025." (IE, **Mar 2026**)
"Australia moves India into highest risk category for student visas." (TOI, **Jan 2026**)
"Canada rejects 80% of Indian student visas in 2025." (TOI, **Sep 2025**)

The headlines continue unabated. Since 2023, such announcements by the 'Big 4' (United States, United Kingdom, Canada, Australia) have served as a deterrent for Indians aspiring to study in these dream destinations. Home to 56 of the top 100 universities globally, as per the QS World University Rankings 2026, the Big 4 have attracted hordes of Indian students over the years. "These remain the most sought-after destinations due to the recognition of their universities and the variety of programs aligned with industry demand," says Piyush Kumar, Regional Director, South Asia, Canada and Latin America, IDP Education.

"Management and MBA programs continue to lead student preferences, accounting for over 55% of course choices among Indians," says Praneet Singh, AVP, University Partnerships, upGrad Study Abroad. These are followed by STEM-focused programs, which comprise nearly 39% of preferences, according to upGrad's Study Abroad Transnational Education (TNE) Report 2024-25.

Yet, the past couple of years have seen a drastic fall in the number of Indian students going to the Big 4 due to the tightening of visa requirements, restrictive government policies, truncated post-study work periods, shrinking job opportunities, rising tuition and visa fees, increased proof of funds limits, and a fall in the rupee.

This has not only rendered these destinations unaffordable, but also lowered their return on investment (RoI) quotient due to job uncertainty. Add to it the ongoing West Asian crisis, and many Indians have either abandoned or delayed their foreign education plans. No surprise then that there was a 6.1% fall in the number of Indian students studying in foreign universities last year, from 13.3 lakh in 2024 to 12.5 lakh in 2025, as per the Ministry of External Affairs data.

ALTERNATIVE DESTINATIONS

As Indians seek more affordable and better study opportunities abroad, the Big 4's loss has become a gain for several European and Southeast Asian countries, including Germany, France, Italy, Spain, the Netherlands, and Ireland in Europe; Japan, South Korea, Singapore and Hong Kong in Southeast Asia; as well as New Zealand and the United Arab Emirates (until recently).

Dubai (UAE) had picked up as a destination in the past 8-9 months, but due to the West Asian conflict, it is completely off the radar now. "These people have started looking at private Indian universities or foreign universities within India, such as Southampton and Liverpool," says Delhi-based career coach and consultant Alok Bansal.

"The Middle East is popular for ancillary fields and facility management services and may pick up again depending on how the situation pans out, but it is not an option for students looking for higher education because of the limited number of top-ranked global universities," says Mandeep Singh Bachher, Co-founder, MindScan Education.

"Students today are far more pragmatic in their decision-making and are prioritising destinations that offer affordability, policy clarity, and strong employment outcomes. Europe is gaining traction because it offers a strong balance between cost, opportunity and career outcomes," says Singh.

Germany

Germany, popular for STEM fields, has seen a sharp surge in the number of Indian students, rising from 28,905 in 2020 to 59,419 in 2024, according to DAAD (German Academic Exchange Service). This shift is also reflected in student mobility trends, with Germany's share rising from around 13% in 2022 to over 32% in 2024-25, as per the TNE Report, making it one of the fastest growing destinations for Indian students.

"Germany has risen in prominence because its cost of education is significantly lower than in the US and other European countries. As the rupee continues to depreciate, this decision impacts not only the tuition fee but also the cost of living," says Eela Dubey, Co-founder and CEO of EduFund. Since some of its public universities charge nil or negligible tuition fees, the overall cost of studying in Germany is low, ranging from ₹20-40 lakh.

It also offers ease of post-study work options and future prospects. "The demand for skilled workforce is supported by its strong industrial ecosystem, home to global employers such as SAP, Siemens, BMW, Volkswagen and Airbus, which actively recruit international talent," says Singh from upGrad.

The Netherlands

It's a favourite among Indians for courses in the STEM stream, business management and life sciences. Higher education in the

Srishti Wadhwa
21, *Delhi*

STUDYING IN
University of Amsterdam, **THE NETHERLANDS**

COURSE
Bachelor's program with finance (3 years)

GRADUATING IN
2026

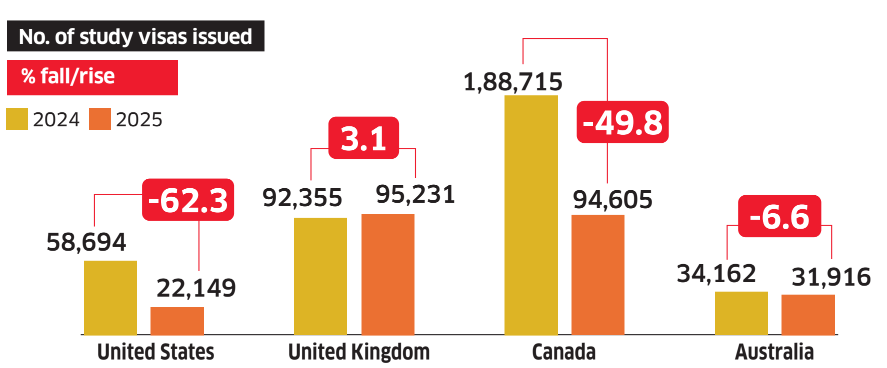
FIRST CHOICE
United States

REASON FOR SHIFT
Affordability, high-ranked university

TUITION FEE
₹11 lakh a year

"It would have cost me ₹60 lakh in the US, and even with a scholarship, it would have amounted to nearly ₹40 lakh."

Indians go slow on studying in Big 4



US F-1 visas for May-August period. UK visas issued year-ending December. Australian higher education visa for 2023-24 to 30 June 2024 and 2024-25 to 30 June 2025. **Sources:** The Chronicle of Higher Education; UK Home Office; Immigration Refugees and Citizenship Canada; Australian Government, Department of Home Affairs.

Netherlands can cost around ₹25 lakh a year, which is much lower than ₹50-70 lakh a year in the US. The affordable tuition fee, moderate living cost, and strong post-study employment opportunities mean that the country offers a high return on investment.

"My first choice was the US, but it would have cost me ₹60 lakh a year, and ₹40 lakh even with a scholarship. In Amsterdam, I'm paying ₹11 lakh a year in tuition fee even though the cost of living is higher," says Srishti Wadhwa from Delhi, who is pursuing a three-year undergraduate course in finance and also wants to do her post-graduation from Europe.

The country has nearly 13 universities in the QS World Rankings 2026, offering high-quality research and teaching. Importantly, for Indians, it has a large number of English-taught courses. The top undergraduate courses, according to Leap Scholar, are in computer science, international business, engineering, life sciences and psychology.

Ireland

Ireland is becoming increasingly popular for programs in technology, data science, pharmaceutical science and finance due to the presence of global technology and pharma giants. It's home to the European headquarters of Google, Meta, Apple and Microsoft, has companies like Indeed, Stripe and Pfizer, as well as the top 50 global banks.

It is also an attractive option due to the post-study work opportunities. "The fees for postgraduate programs vary from ₹14-40 lakh annually, depending on the program and institution. Living costs may vary from ₹30,000-60,000 monthly for campus accommodation, but can rise for off-campus stay," says Kumar.

6.1% Year-on-year fall in number of Indians studying abroad in 2025.

Source: Ministry of External Affairs

France & Spain

France and Spain are popular among Indians seeking courses in management, fashion, design and hospitality, with the total cost of studying in France ranging from ₹30-50 lakh a year. "I'm paying ₹35 lakh in tuition fee for the 1.5-year course in luxury management and marketing from Emlyon Business School, Paris," says Gayathry K. Menon, 24, who will complete her post-graduation in 2027, after studying in Milan and Australia too for a few months, as part of the program.

Some of the top universities in France like the University of Paris and Sciences Po offer several English-taught programs, with the country also providing a post-study visa, which is a big attraction. "However, language can be a barrier, especially if you pick a smaller university where most of the students talk in local dialects," says Bansal. Spain is relatively cheap, with lower tuition fees and living costs (₹85,000-1.5 lakh a month) compared to France's ₹1-1.8 lakh a month in living expenses.

Ranvir Chaudhary

18, *Jaipur*

TO STUDY IN
Nagoya University of Commerce & Business, **JAPAN**

COURSE
Business management (4 years)

STARTING IN
September 2026

TUITION FEE
₹8.5 lakh a year

REASON FOR PICKING JAPAN
Affordability, culture, EV hub

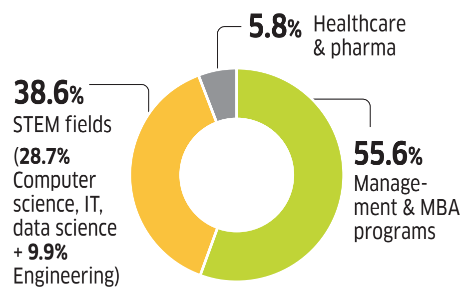
"It's affordable compared to the US or UK and has no racism. Besides, both my parents are in the EV industry and I can pick up a lot from there."

Alternatives to Big 4

Country	Top streams	Why it's popular	Average cost of living (per month)
EUROPE			
Germany	• STEM (science, technology, engineering, maths) • Business management & finance	• Nil/low fee for public universities. • Strong job market. • 18-month job search visa.	€1,023-1,657 (₹1.1-1.8 lakh)
France	• Business management & finance • Design, arts, fashion	• Post-study work visa. • Affordable tuition fee. • Many English-taught programs.	€982-1,657 (₹1-1.8 lakh)
Ireland	• STEM • Pharmaceutical & bio-sciences	• Affordable tuition fee. • 1-2-year post-study visa. • Top global tech, pharma firms.	€800-1,565 (₹86,000-1.7 lakh)
The Netherlands	• STEM • Business management • Social sciences & humanities	• 1-year job search visa. • Good job opportunities. • English-taught programs.	€900-1,500 (₹97,000 - 1.6 lakh)
SOUTHEAST ASIA			
Japan	• STEM • Business management	• Highly affordable. • Part-time work options. • Tech & business job opportunities.	JPY 100,000-150,000 (₹58,000-88,000)
Singapore	• STEM • Business management • Bio-sciences	• Top-ranked global universities. • Strong career options. • Safe and close to India.	SGD 1,500-2,500 (₹1-1.8 lakh)
OTHERS			
New Zealand	• STEM • Business management • Healthcare	• Top-ranked global universities. • Affordable cost of living. • Part-time work options.	NZD 1,370-2,670 (₹75,000-1.5 lakh)

Sources: University Living European Student Landscape 2024; Leap Scholar.

Top streams for Indians



Source: upGrad Study Abroad TNE Report 2024-25

Japan

"Southeast Asia, especially Japan, is becoming popular after the opening up of its cross-border conversation with India," says Dubey. Agrees Bachher. "There's a concerted effort to popularise Japanese universities, and for India, the effort is spearheaded by the University of Tokyo. They've been taking principals and students on trips to assess the on-the-ground situation. However, language is a big barrier, with very few English-taught bachelor programs," he says.

The low expense is still a big attraction. "It can cost as little as ₹5-6 lakh a year for economics or management programs," says Bachher. This was one of the reasons that Jaipur-based Ranvir Chaudhary's parents were keen on Japan. "I will pay ₹8.5 lakh a year as tuition fee for my four-year undergraduate program in business management," says the Class 12 student, who is set to start in September this year. "Overeall, it will cost ₹14-15 lakh a year for both tuition and living expenses," says Ranvir's mother, Kshitija.

Singapore & Hong Kong

While these destinations have always been popular, they have seen a rise in demand in the past 1-2 years. With top global universities such as the National University of Singapore (NUS) and Nanyang Technological University (NTU) in the QS World University Rankings 2026, the city-state offers high quality programs in business management, technology and engineering.

The cost of studying in Singapore is slightly higher than the other Southeast Asian countries but is low relative to the US and UK. "It costs ₹20-25 lakh a year, but a bigger advantage for Indians is the proximity to home, ease of language and food, and safety," says Bachher. Hong Kong is cheaper compared to Singapore and costs ₹12-15 lakh a year for engineering.

New Zealand

With all eight of its public universities ranked in the QS World University Rankings 2026, the country offers high-quality education in business, IT, engineering, healthcare and hospitality. The Indian student numbers grew 48.9% from 2021 to 2024 due to its affordability, simplified visa processes, and post-study work opportunities, as per a University Living Report. The tuition fee is ₹12-20 lakh annually for most programs, and higher for postgraduate programs. For living expenses, students should budget ₹10-11 lakh annually, as per the IDP.

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Study abroad insurance

What students must know

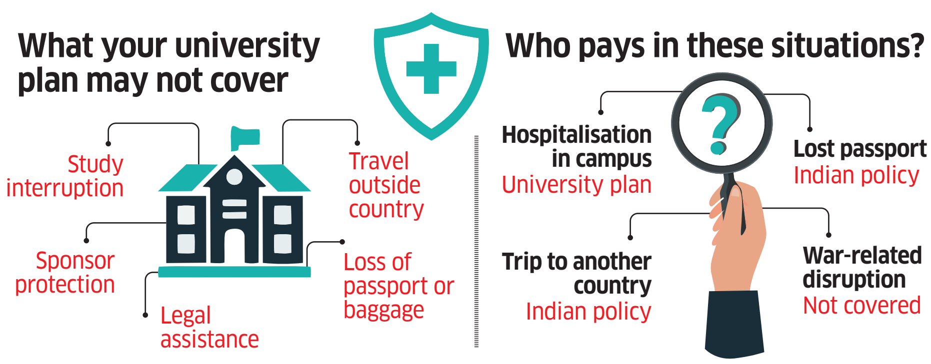
University health plans won't cover everything. Here's what a separate Indian travel policy adds, and where it falls short.

by **Yasmin Hussain**

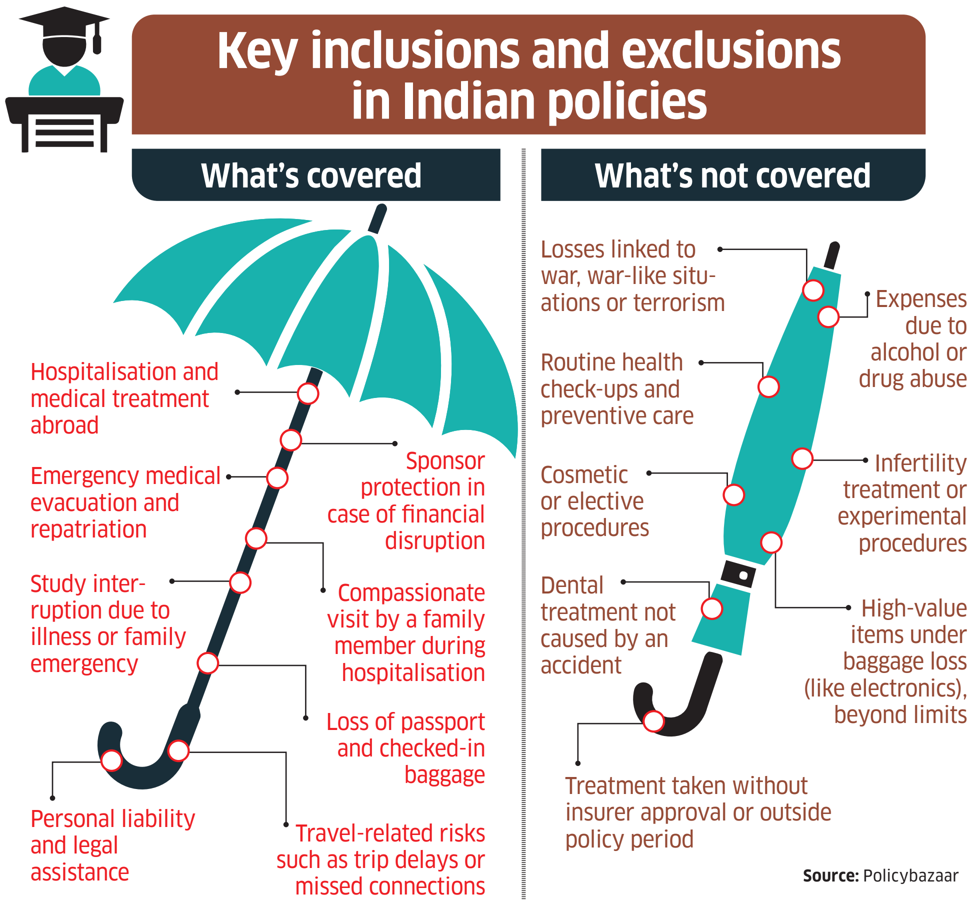
A flight cancelled because of conflict in the region. A connecting route suddenly suspended. An emergency that demands evacuation to the nearest safe country, not home to India, but wherever the situation permits. For Indian students abroad, these are no longer hypothetical situations. In several parts of the world today, families are quietly factoring this into their plans.

This is why the fine print in a student's overseas travel insurance policy deserves much more attention than it usually gets.

Guide to insurance for students



Key inclusions and exclusions in Indian policies



Source: Policybazaar

Beyond hospital bills

Even when a university-provided insurance policy is mandatory, an additional student travel policy from India can still be relevant. University insurance is largely designed around medical treatment within a local network, which makes access to care easier but also limits its scope.

"University-mandated health insurance focuses mainly on medical treatment," says Amarnath Saxena, Chief Technical Officer-Commercial, Bajaj General Insurance. "Indian student travel insurance policies go beyond healthcare and cover travel-related and financial risks too."

The broader coverage becomes relevant in situations that fall outside hospital care. For instance, if a student has to interrupt studies due to illness or a family emergency, or faces issues such as the loss of a passport, baggage, or legal complications abroad, these may not be fully addressed by university plans.

"A robust student travel insurance policy extends beyond medical coverage to safeguard academic, emotional, and legal interests," says Chandrakant Said, Vice President-Consumer Underwriting, TATA AIG General Insurance.

Insurers position these policies as a supplement rather than a replacement. Meet Kapadia of Policybazaar explains that student travel plans from India can work "as a smart supplement to university plans," as they include protection against risks such as baggage or passport loss, study interruptions, and even damage or loss of electronic devices like laptops and tablets. "A comprehensive plan provides all-round protection, reducing financial and emotional stress in unfamiliar environments. It also includes key non-medical benefits such as study interruption, sponsor protection, personal liability, bail bond, and coverage during travel to other countries."

Sponsor protection applies if the student's financial sponsor, typically a parent or guardian, is unable to continue funding due to death, disability, or a sudden loss of income. In such cases, the policy steps in to cover remaining tuition fees, preventing disruption to the student's education.

In terms of coverage, most student policies typically offer a sum insured ranging from $100,000 to $500,000, with some plans going up to $1 million, especially for destinations like the US, where healthcare costs are significantly higher.

In that sense, the two types of policies serve different purposes. One ensures access to treatment within the country of study, while the other serves as a broader financial safety net for the risks that come with living and travelling abroad.

What the policy won't pay

The policy documents make it clear that the coverage has strict boundaries. For one, Indian insurers' overseas student travel policies will not pay for any injury or evacuation due to war-like situations, like the one in West Asia. Routine health check-ups, preventive care, and general examinations are not included. The policy wording across insurers clearly excludes "routine physicals or other examinations" where no illness is involved. Cosmetic procedures and elective treatments are also not covered unless they are required due to an accident.

While university health plans typically cover routine check-ups, preventive care, and general examinations within their network, they also exclude non-essential treatments such as cosmetic procedures, similar to Indian insurers. Dental care is another area with limitations. It is usually covered only if the treatment is required because of an injury, not for regular dental problems.

Even non-medical benefits come with conditions. For instance, baggage loss is covered only in specific situations and may exclude or place limits on high-value items such as electronics, depending on the policy terms. There are also caps on the amount that can be reimbursed, and claims must meet strict documentation requirements. This is important for students because they tend to carry such items with them. If such items are lost, standard baggage cover may not fully compensate the loss due to sub-limits or exclusions, leaving students to bear a significant portion of the cost. Another important detail is timing. Coverage applies only during the policy period, and in many cases, expenses must be pre-approved by the insurer. If treatment is taken without authorisation or after the policy expires, claims may not be paid.

> There are caps on the amount that can be reimbursed, and claims must meet strict documentation requirements.

These exclusions are not always obvious at the time of purchase. "Students and parents should carefully evaluate exclusions to avoid surprises at the time of claim," says Said.

Cost versus coverage

Indian policies are significantly cheaper than university plans, which can run into lakhs annually. For instance, Cornell University health plan can cost somewhere between ₹3-3.5 lakh, annually, whereas Indian policies like Tata AIG can cost up to ₹33,151 for the US.

Experts say price should not be the only consideration. The real question is whether the policy covers the risks students are likely to face. What may seem like an unnecessary expense at first can become a critical financial buffer once they are on their own abroad.

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The H-1B program now operates within a high-demand environment, where the desire for the visa consistently outpaces the annual statutory caps. For students graduating into this ecosystem, the transition to long-term residency is increasingly defined by statistical variables and administrative timelines.

Visa workaround

Indian students get wake-up call from American dream

Low H-1B odds are forcing families to rethink US education plans, including early EB-5 filing.

The acceptance letter from a top-tier US university used to be the culmination of a long journey for many Indian families. This degree was not just an academic credential; it was a silent contract for a future in the United States. In 2026, it is increasingly seen as merely the first step in a complex, high-stakes navigation of American residency. Recent data shows Indian student enrolment plummeting nearly 45% in some sectors due to visa scrutiny and revoked status: what were once occasional anxieties are now central pillars of family strategy. Students are no longer just "entering" the US; they are fighting to stay.

Traditional pathway fading

For decades, the journey followed a predictable, linear script. A student secured an F-1 visa, moved to Optional Practical Training (OPT), and hoped to win the H-1B lottery to secure a work permit. In fact, this pathway has produced some of the world's most influential technology and business leaders. It was a path built on the idea of meritocracy, that if you studied hard and worked at a big tech company, the system would eventually reward you with a green card, i.e. permanent residency.

However, the sheer volume of applicants has introduced significant structural constraints. The H-1B program, while a vital tool for US companies to access global talent, now operates within a high-demand environment, where the desire for the visa consistently outpaces the annual statutory caps. For students graduating into this ecosystem, the transition to long-term residency is increasingly defined by statistical variables and administrative timelines. This hasn't diminished the value of the education itself, but it has changed the risk profile of the journey that follows graduation.

The end of predictability

In the most recent lottery for financial year 2026, the selection rate hovered around 35%: i.e. of every 100 students who applied, only 35 were just selected—not approved—by the lottery regardless of their qualifications, their employer, or the university they attended.

While this is an improvement from the past, it still means that two out of every three qualified, high-achieving graduates are left without a path to stay. Moreover, the introduction of wage-weighted selection for the upcoming FY 2027 cycle has added a new layer of complexity. Junior talent and entry-level graduates now face odds as low as 15%. And for those who do win, they need to accept that they are tethered to a single employer, unable to pivot to startups or higher-paying roles for fear of losing their status.

'Gold Card' catalyst vs EB-5 reality

The introduction of new residency proposals, such as the high-value 'Gold Card' initiative, signals a broader diversification of US immigration policy. By proposing a residency model based on significant financial contribution, reportedly at a $5 million threshold, the policy landscape is expanding to include more direct, investment-based routes.

This has inadvertently cast a spotlight on the EB-5 Immigrant Investor Program as an alternative. Unlike the Gold Card's donation model, the EB-5 remains an investment. At the $800,000 threshold for Targeted Employment Areas (TEAs), one investment covers the entire family—spouse and children under the age of 21 included.

While these new proposals target ultra-high-net-worth individuals, they highlight a broader shift: prioritising immediate economic injection and long-term stability.

For the professional and the student, these policy discussions underscore the theme that Washington is increasingly offering a variety of "lanes," each with its own capital requirements and processing speeds.

From admission to outcome

This volatility has forced a pivot in the Indian household's psychology. Families are moving away from a narrow focus on admission and toward a strategic focus on outcomes. We are now seeing a 'freshman year pivot'. Instead of waiting until the final year of OPT to worry about the H-1B lottery, families are initiating the EB-5 process while the student is still in their first or second year (i.e. freshman or sophomore year) of college. They are safeguarding their child's career flexibility, ensuring they can work for any employer, start their own company, or take a gap year.

Student investor: a new profile

A notable trend in the Indian market is the lowering of the age profile for EB-5 applicants. Historically, this was a program for established business-owners. Today, it is increasingly utilised by parents of college-aged children. By initiating an EB-5 filing during a student's freshman or sophomore year, families are utilising the "concurrent filing" provision. This allows students already in the US to apply for an Adjustment of Status and receive an Employment Authorization Document (EAD) while their residency application is pending.

This move effectively "future-proofs" the student's career, ensuring that by the time they are ready to enter the workforce, their residency status is already in motion.

However, this path is not without its hurdles. The EB-5 requires immense financial transparency and rigorous "source of funds" documentation. It is a sophisticated financial and legal undertaking that is not suitable for every family.

Success in this space depends on two factors: meticulous due diligence on the chosen project and a clear understanding of the evolving regulatory deadlines—most notably the upcoming 30 September 2026 grandfathering deadline. Locking in protections under the current Reform and Integrity Act (RIA), framework is a critical step for anyone seeking long-term stability.

Building a future, not just an entry

The era of the 'accidental immigrant' is coming to an end. The conversation in India has matured from how to enter the US to how to stay there with dignity and certainty. As Indian families become more informed and proactive, they are no longer content to leave their future to a computer-generated lottery. They are becoming architects of their own "American dream", prioritising long-term stability over short-term hope.

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West Asia tension the rainy day to cash in your miles & points

There has never been a better time to start getting interested in loyalty programmes, especially for HNIs.

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As with any geopolitical conflict, the element of surprise caught everyone off guard, but the first to get back home were the people with balances in their mileage accounts. They booked tickets on other carriers using their balances as a backup in case their original flights routing through West Asia were not operating.

I have been very conflicted in topic selection for this month's column, having torn up a couple of drafts already. But the more I read and hear of things around me, the more I realise that those with miles and points stashes are not as affected by the current events unfolding in West Asia as compared to the ones who do not. And this should be a lesson in diversification that perhaps everyone needs.

West Asian hubs in the UAE and Qatar are prime carriers for Indians to Europe and the Americas, apart from Air India and IndiGo, which are building up their networks to serve these continents directly as well. Earlier this month, we saw people in transit seeking shelter in place as flights were grounded, and it took them over a week to get out. However, the closure of West Asian corridors left not just the people in these airports stuck, but also those who were booked to travel from Europe and the Americas into India and vice versa.

As with any geopolitical conflict, the element of surprise caught everyone off guard, but among the first to return home were the people with balances in their mileage accounts. They booked tickets on other carriers using their points as a backup in case their original flights routing through West Asia were not operating. Sometimes twice over.

Why now?

After the immediate shock of losing connectivity and being grounded in a conflict zone for days, the consequences started to show up. Airfares for direct flights to the West from India have skyrocketed, and inventory has been reduced. One-way tickets to Europe in Economy Class for a month later jumped from ₹50,000–60,000 to ₹2 lakh.

But there has been a silver lining. Those with adequate points have been able to book tickets without extra consequences, doing business as usual (subject to availability). For instance, a close relative needed to be in Paris for an interview but wasn't paying those prices. He just picked up points from his collection over the years, and booked a ticket worth ₹2,00,000 with 55,000 points and US $50. Never mind that it was in economy class, he at least gets there. And this is not the only example around me. Many others have been up to it.

Points are everywhere, seize them

If you are of the school of thought that you don't travel much and hence don't need this, think again. Loyalty points and miles are today far more entrenched in our daily lives. Banks allow their credit card subscribers to earn bank points and transfer them to various airlines' frequent-flyer programs. HDFC Bank, American Express, Axis Bank, and HSBC are among these, with a good selection of partner schemes to transfer your points to.

Banks and airlines/hotels also come together to launch co-branded cards, where spending on the cards brings you points into their loyalty programme. Marriott Bonvoy, Etihad Guest and IndiGo BluChip are the current co-brand card issuers in India. Air India's Maharaja Club has about 100 partners offering rewards when you book through their special links. These include car services, retail partners and cruises. You can even earn points on your meal orders at home, with Zomato partnering Air India Maharaja Club and Swiggy partnering IndiGo BluChip, Flipkart SuperCoins and Marriott Bonvoy.

After the immediate shock of losing connectivity and being grounded in a conflict zone for days, airlines raised fares for direct flights to the West from India and reduced inventory.

More opportunities for HNIs

One of the bigger picture perspectives has been that banks have started gating their high-net-worth individual (HNI) customers and offer them even more points on spends on their credit cards.

For instance, HSBC has the HSBC Premier programme, which offers a credit card with the best in class points system. Axis Bank took its popular Magnus product and launched a "for Burgundy" variant, where if you hold the card and are a member of the Burgundy Wealth Management programme, you get double the value out of the points accumulated on the card. Similarly, the American Express Platinum (Metal) card and the HDFC Bank Infinia have points earnings that are above the market in many cases. For instance, buying medicines or booking hotels via the HDFC bank Smartbuy portal gets you 10X points equivalent to 33% value of the purchase. And with Amex, you get ten times the usual points (25 points/₹100) when you purchase with the Platinum Charge Card.

The bottom line is, if you are a traveller, frequent or not, you should start being interested in accumulating points. Even if they don't make sense on day one, they can facilitate travel for you and your family in days when cash spending might not make any sense.

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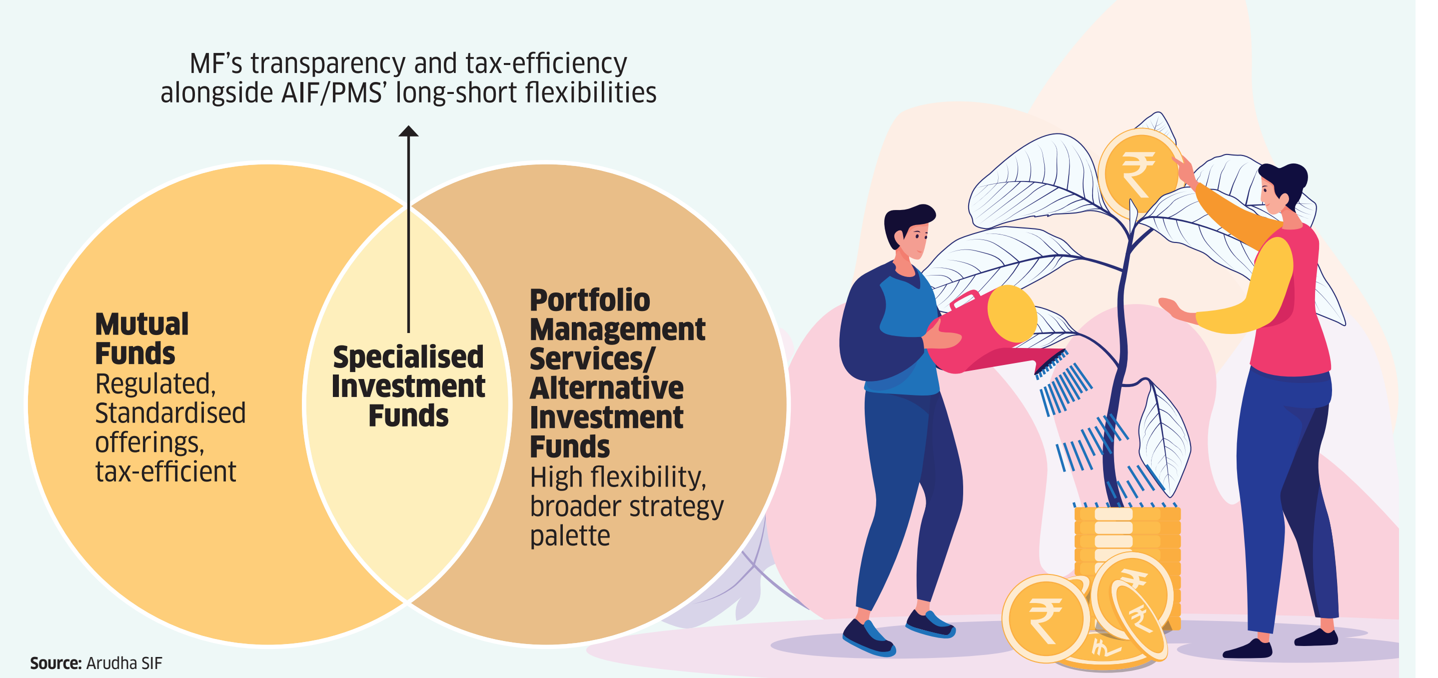
Specialised Investment Funds

New funds face first litmus test

The market correction is putting these new funds through their paces—and the results are mixed.

by **Sanket Dhanorkar**

The newcomers of the investment ecosystem face an early trial by fire. Specialised Investment Funds (SIFs), just out of the oven, find themselves forged in the crucible of war and uncertainty. How these SIFs—touted as capturing opportunities across rising, falling and sideways markets—fare amid this upheaval will show if they live up to the hype.



Source: Arudha SIF

Diving into the deep

SIFs were launched amid much fanfare last year as a vehicle bridging the gap between mass-market mutual funds and high-ticket Portfolio Management Services (PMS) or Alternate Investment Funds (AIFs). With a ticket size of ₹10 lakh, SIFs offer flexible investment strategies akin to the latter, while operating within a more tightly supervised, tax-friendly framework.

While mutual funds are restricted to 'long-only' strategies, SIFs can pursue both 'long' and 'short' bets. Unlike traditional mutual funds, SIFs are allowed to sell shares without holding the underlying assets—termed naked short positions—up to 25% of the portfolio. So, asset managers don't just bet on a rising market; they can also gain from falling stock prices. This allows fund managers to act with conviction instead of simply holding cash. Further, SIFs are permitted to use a wide range of derivative strategies to pursue opportunities across rising, falling and sideways markets. These include covered calls, bear put spreads, short or long straddles, short or long strangles, pair trades and arbitrage, among others.

Theoretically, this flexibility gives SIFs a distinct edge. Ankur Punj, MD and Business Head, Equirus Wealth, says, "Fund managers have the ability to reduce risk in the portfolio and even profit from dislocations on the short side, something long-only equity mutual funds structurally cannot do." With the market environment turning fragile, these fledgling SIFs must quickly prove they can walk the talk.

Shobhit Mathur, Co-Founder, Ionic Wealth, remarks, "The ongoing correction is an early litmus test for SIFs, and it is precisely in such phases that the flexibility of these strategies becomes relevant." Punj concurs, "This correction is effectively an early live 'stress test' of SIF long-short designs. Fund managers should be able to use market volatility and show alpha generation through their funds at this time."

Heightened volatility creates ripe conditions for deploying clever derivative strategies that are not permitted within the traditional mutual fund framework. Nilesh Mishra, Senior Financial Advisor at 1 Finance, insists, "The current correction is creating exactly the raw material long-short funds need: high dispersion, clear sector winners and losers, and valuation gaps widening between quality and weak stocks."

SIFs have made their mark amid testing conditions

	Returns (in %)		
Hybrid	**1 month**	**3 month**	**Since inception**
Altiva Hybrid Long-Short Fund	-0.6	0.6	3.0
Arudha Hybrid Long-Short Fund	0.2	–	0.8
Magnum Hybrid Long Short Fund	-1.3	-0.5	0.7
qsif Hybrid Long-Short Fund	-0.5	-0.8	-1.4
Titanium Hybrid Long-Short Fund	-3.5	-2.8	-2.8
iSIF Hybrid Long-Short Fund	-5.5	–	-4.9
Dynamic asset allocation funds	-4.7	-4.4	NA
Aggressive hybrid funds	-6.1	-5.8	NA
Equity			
DynaSIF Equity Long - Short Fund	-1.7	–	-1.9
Diviniti Equity Long Short Fund	-2.6	-3.9	-3.9%
qsif Equity Long Short Fund	-4.7	-6.6	-6.6%
iSIF Equity Ex-Top 100 Long-Short Fund	-6.3	–	-6.7%
qsif Equity Ex-Top 100 Long-Short Fund	-6.0	-9.2	-10.8%
BSE 500	-7.0	-6.9	NA
Flexi cap equity funds	-7.8	-7.8	NA

Source: sifmf.in, Value Research

Data as on 17 March

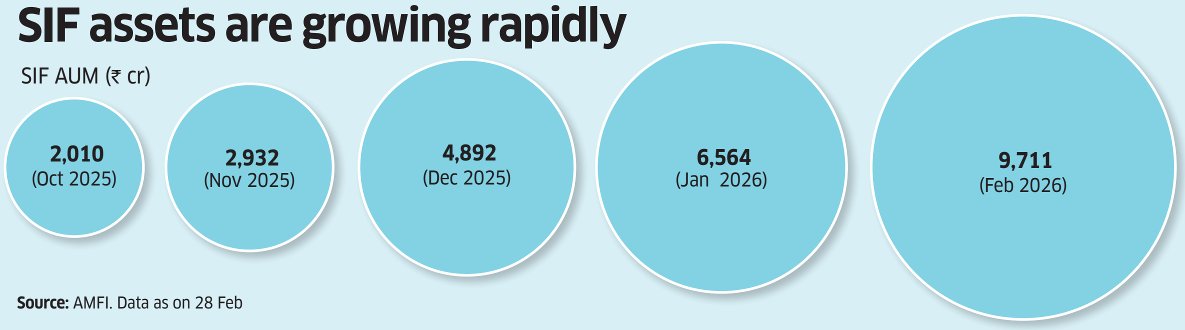
Varied outcomes

The SIF basket is growing rapidly. The SIF universe now comprises eight asset managers, with 11 schemes (a few more in the pipeline) managing around ₹9,700 crore in assets as of 28 February, shows data from Amfi (Association of Mutual Funds in India). Hybrid long-short funds have seen the most action, with six funds accounting for about 76% of total SIF AUM. Three equity long-short funds and two equity ex-top 100 long-short funds are also active.

Asset managers are following distinct playbooks in their SIF strategies. With funds harnessing different levers at their disposal, the outcomes are also varied. Equity-oriented SIFs target equity-like returns while keeping volatility akin to that of hybrid funds. Equity long-short funds are flexi-cap, equity-oriented funds that complement arbitrage and short strategies. Meanwhile, ex-top 100 equity long-short funds focus on mid- and small-cap stocks. "This strategy offers a defensive way to invest in the broader market, seeking to participate in the upside while minimising the downside and volatility associated with the segment," points out Chintan Haria, Principal-Investment Strategy at ICICI Prudential Mutual Fund. These funds have exhibited a range of outcomes. While Diviniti Equity Long Short Fund (from ITI Mutual Fund) has shed 3.86% in the past three months (compared to the BSE 500 index's 6.9% fall), qsif Equity Ex-Top

SIF assets are growing rapidly

SIF AUM (₹ cr)



Source: AMFI. Data as on 28 Feb

Comparatively, dynamic asset allocation funds have lost 4.4%, while aggressive hybrid funds have fallen 5.8%. Mathur observes, "SIFs are beginning to demonstrate the benefits of a flexible mandate in a volatile market environment. Hybrid long-short strategies have shown relative resilience during the recent correction." He points out that many hybrid SIFs are running selective short positions of around 3-7% while maintaining a net equity exposure of 30-50%, even as equity long-short SIFs are taking 13-20% tactical shorts to navigate turbulence. Manuj Jain, Co-founder ValueMetrics Technologies, maintains, "While regulations allow unhedged short exposure of up to 25% of the portfolio, most recently launched SIFs are unlikely to operate at that limit initially."

Further, hybrid long-short funds, which invest across equity and fixed income, seek to reduce drawdowns during bear or sideways markets. Asset managers deploy various approaches here—covering distinct strategies such as an income-plus arbitrage fund, a balanced advantage fund, and an equity savings fund. Altiva Hybrid Long-Short Fund has so far outperformed in this space, gaining 0.55% in the past three months and 2.95% since inception. It is aimed at income-oriented investors seeking slightly better returns than arbitrage funds. It avoids naked shorts and limits derivatives usage to covered calls and pair trades. Bhavesh Jain, Co-Head, Factor Investing, Edelweiss Mutual Fund, says, "We take limited equity exposure through calls and some derivative strategies, focusing more on arbitrage and fixed income as core strategies along with special situation trades."

iSIF Hybrid Long-Short Fund adopts a dynamic asset allocation strategy with net equity ranging from -7.5% to 75% and unhedged shorts capped at 10%. Meanwhile, Arudha Hybrid Long-Short (from Bandhan Mutual Fund) follows a market-neutral strategy, with full hedged equity positions capturing opportunities arising from pricing inefficiencies and spreads, rather than taking directional market exposure.

Verdict awaited

These are still early days for SIFs. While initial performance provides some idea of their capabilities, it would be wrong to judge them purely on this limited track record. The real prowess of SIF will be evident over a market cycle. Jain of ValueMetrics says, "Over time, the true test will be whether these strategies can consistently reduce drawdowns during market corrections while still participating in the upside phases."

Experts insist that SIFs are a different breed—their flexibility holds promise, but execution remains key. To be sure, investors cannot extrapolate asset managers' SIF execution capabilities from their prowess in mutual funds. Jain says, "Managing long-short strategies requires a very different skill set compared to traditional long-only portfolios. Robust risk management frameworks will be critical, given the use of derivatives and short positions in these strategies."

Mishra adds, "Most AMCs launching SIFs built their reputation in long-only portfolios, a fundamentally different skill from running a disciplined short book. Until we see a full market cycle, it is hard to separate genuine long-short expertise from rebranded equity funds with occasional derivative overlays." He suggests checking the SIF average short exposure in monthly factsheets. "If it consistently stays below 10%, it is a long-only fund in SIF clothing," says Mishra.

Given the disparate outcomes in both returns and volatility, investors must evaluate options carefully. Punj of Equirus Wealth maintains, "Since the track records are nascent, it is important not to look at returns and rather focus on risk metrics amid the correction. Hybrids show promise for shallower drawdowns via debt/arbitrage anchors, while equity long-short funds may exhibit higher volatility but potential alpha in dispersion phases."

Some experts are convinced that SIFs will gradually play a larger role in investors' portfolios. Ionic Wealth's Mathur insists, "Hybrid SIFs can act as core portfolio anchors while equity long-short SIFs can help navigate market cycles more effectively. As investors increasingly seek risk-adjusted returns rather than just directional exposure, SIFs are likely to see greater adoption in the coming years."

However, SIFs will have to earn their stripes, and the current market represents the first hurdle. Mishra of 1 Finance contends, "The role SIFs play depends entirely on whether fund managers consistently use the derivatives toolkit they were handed, and whether the first real recovery cycle proves that long-short actually delivers better risk-adjusted returns than a simple index fund."

If it does, SIFs will reshape how India's emerging wealthy class thinks about equity investing. If it doesn't, SIFs risk becoming another well-intentioned product that sounded better in the Securities and Exchange Board of India (Sebi) circular than in the investor's portfolio, Mishra adds.

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Hybrid long-short funds currently dominate SIF assets

SIF category	No of schemes	AUM (₹cr)
Equity-oriented		
Equity Long-Short	3	1,052
Equity Ex-Top 100 Long-Short	2	1,270
Sector Rotation Long-Short	NA*	
Debt-oriented		
Debt Long-Short	NA*	
Sectoral Debt Long-Short	NA*	
Hybrid		
Hybrid Long-Short	6	7,389
Active Asset Allocator Long-Short	NA*	

*Funds yet to be launched in the category

Source: AMFI Data as on 28 Feb

The SIF platter

SIF name	Asset manager
Altiva SIF	Edelweiss MF
Apex SIF	DSP MF
Arthaya SIF	Union MF
Arudha SIF	Bandhan MF
Diviniti SIF	ITI MF
DynaSIF	360 ONE MF
iSIF	ICICI Prudential MF
Magnum SIF	SBI MF
Platinum SIF	Mirae Asset MF
qsif	Quant MF
Titanium SIF	Tata MF

Note: 8 out of 11 asset managers currently running SIFs

Overseas asset realignment

The great NRI rebalance

Geopolitical tensions are pushing NRIs to rethink their portfolios. Here's how to decide what comes back to India, what stays abroad, and in what order.

by **Abhinav Kaul**

Non-resident Indians (NRIs) have always kept one eye on India while building their lives overseas. The emotional, cultural, and financial link to home has rarely faded. However, the current wave of geopolitical tensions is prompting many to revisit an old question: should they consider moving back to India?

Events such as the ongoing tensions in West Asia have added urgency to these conversations, but they have not necessarily triggered immediate action. Instead, they are nudging individuals and families to think more deeply about the future and reassess long-held assumptions.

It is not about everyone suddenly packing up and relocating. For most, the shift is far more subtle. It shows up in how portfolios are being reshaped, a gradual tilt toward India, which increasingly feels like a relatively stable, high-growth destination to anchor at least a portion of their wealth.

At the heart of this shift lies a more fundamental question: if one plans to move back, what is the right approach, allocation, and investment strategy?

The trigger

The prevailing environment has meaningfully impacted investors' minds. For years, many NRIs viewed West Asia, particularly cities such as Dubai, as extremely safe and predictable places to live and build wealth.

There is a growing realisation that, in a worst-case scenario, India could be the place that provides both emotional security and financial support. "If the ongoing conflict persists for a long time, we might see more decisive actions. We have started receiving calls from clients expressing concerns about their global assets, indicating that these worries are slowly bothering them. However, it will take time before we can see any concrete actions from our clients," Himanshu Kohli, Co-founder of wealth management firm Client Associates, notes.

For most Gulf-based NRIs, portfolios are typically spread across geographies, but real estate exposure remains concentrated. According to Bhaskar Laxminarayan, Chief Investment Officer–Asia and the Middle East, Julius Baer, "Financial investments have always been very well diversified across geographies, across asset classes. Real estate is the exception, often concentrated and illiquid."

All of these factors are converging into one central dilemma: how should an NRI restructure their wealth in a changing world?

The India vs overseas question

When NRIs return to India, the starting point should be a holistic financial plan that clearly maps out their needs, both in their homeland and globally.

In India, they must account for lifestyle expenses, which will largely be incurred locally. Beyond that, they need to evaluate significant life goals: children's education (whether in India or abroad), weddings (which may take place in the country or overseas), and future asset purchases across geographies.

This makes it essential to build a comprehensive financial plan that clarifies the allocation of wealth between India and overseas markets.

Succession planning is another critical dimension. The location of children, whether they are based in India or abroad, can significantly influence asset allocation decisions. If not planned properly, investors may end up repatriating all their wealth to India, only to face restrictions later when trying to transfer these funds back to children living overseas.

"Returning NRIs should ideally view their wealth through a goal-based asset allocation framework, rather than a binary 'India vs overseas' choice. For investors looking to build long-term wealth in India, a meaningful allocation to Indian equities makes strong sense, given the country's favourable demographics, robust economic fundamentals, and a powerful domestic consumption story," says Harsh Gahlaut, Co-founder and CEO of investment advisory firm FinEdge.

Three strategic choices

1. Move wealth to India

One of the biggest advantages of consolidating wealth in a single country is simplicity. Managing investments, taxation, and compliance becomes significantly easier when everything is aligned with a single jurisdiction.

India's strong long-term equity market performance also makes a compelling case. With the exception of the last 18 months, domestic markets have delivered good returns over extended periods. For investors who believe that the coming decade belongs to India, concentrating wealth locally may appear attractive.

"This approach provides phenomenal rewards, allowing money to grow at a much faster rate. As a result, they will be able to accumulate more wealth for their children and for their own enjoyment. In such a scenario, where all overseas investments return to India, it is important not to overlook the bigger picture," observes Kohli.

From a taxation standpoint, repatriating funds to India is not, in itself, a taxable event. Tax liability (read story: *bit.ly*/4sm6RVD) typically arises when income is generated—such as capital gains, interest, or dividends—under the regulations of the country where the assets are held.

However, investors must remain mindful of regulatory requirements, documentation, and compliance obligations, including Foreign Exchange Management Act (FEMA) guidelines. "Fully repatriating assets to India generally makes sense when an individual has made a clear decision to relocate and build their future in India permanently. Aligning assets with the country where future expenses and financial goals will arise helps reduce currency-related uncertainties and improves planning

NRI wealth: Home or away?

As global uncertainties rise, NRIs are reassessing where their money belongs.

What is driving fund restructuring

- Geopolitical concerns
- Economic & employment uncertainty
- Return to familial & social roots
- India's growth story
- Retirement Planning

The 3 strategic choices

1. Move wealth to India

Pros	Cons
Simpler tax & compliance	High concentration risk
Aligns with India-based expenses	Depreciating currency
Strong domestic growth story	Missed global opportunities

Best for: • Permanent relocation • India-centric life goals

2. Keep wealth abroad

Pros	Cons
Currency hedge (USD exposure)	Tax & compliance complexity
Access to global assets	Currency mismatch risk
Better diversification	Operational challenges

Best for: • Future global commitments • Late-stage relocation/retirement

3. Hybrid strategy

Pros	Cons
Balanced diversification	Requires planning discipline
Currency risk management	More complex to manage
Aligns with multi-geography life	

Best for: • A holistic financial plan

efficiency," says Gahlaut.

2. Keep wealth abroad

For some returning NRIs, the idea of keeping most or even all of their investments overseas can appear attractive, especially when their wealth has been built over years in global markets.

A portfolio denominated in dollars or other hard currencies offers diversification benefits and, in many cases, access to more mature financial systems and a wider array of investment products.For high-net-worth individuals (HNIs) with business interests abroad or global lifestyles, retaining overseas assets can also ensure continuity and flexibility across jurisdictions.

However, this strategy is far from universally suitable and, in many cases, can prove risky or impractical when the intent to return to India becomes firm.

"The decision is deeply linked to the profile of the NRI and their long-term plans," notes Kalpesh N. Ashar, Founder, Full Circle Financial Planners and Advisors.

One of the biggest benefits of keeping investments abroad is geographical diversification. Many NRIs, particularly those in the middle-income or affluent salaried segments, tend to maintain a portion of their wealth in global assets such as US equities or international funds.

That said, concentrating all investments overseas introduces its own set of vulnerabilities, especially geopolitical and residency risks. Recent escalating tensions across the world have demonstrated how quickly circumstances can change.

"This highlights a key drawback of keeping all wealth abroad: exposure to risks that are beyond an investor's control, including political instability, regulatory changes, or capital restrictions," says Ashar.

Kalpesh N. Ashar
Founder, Full Circle Financial Planners and Advisors

> "[Global tensions] highlight a key drawback of keeping all wealth abroad: exposure to risks that are beyond an investor's control, including political instability, regulatory changes, or capital restrictions."

There is also a practical dimension. For NRIs planning to settle back in India, future expenses, liabilities, and lifestyle needs will be rupee-based. Keeping all assets overseas can create currency mismatches and complicate financial planning.

The best strategy for keeping wealth abroad, in many cases, is to bring back only what is required to sustain a desired lifestyle in India, while gradually moving the remaining capital over time as and when needed. Until then, keeping assets overseas acts as a natural currency hedge.

The rupee's long-term depreciation is a key factor here. "It's always better to have it in the dollar exposure outside, and that itself may enhance your INR yield," says Sachin Sawrikar, Managing Partner, Artha Bharat Investment Managers. Note that any foreign income, interest, dividends, capital gains or rent must be reported in the income tax return, along with disclosure of overseas assets under Schedule FA.

Non-disclosure can attract strict penalties under the Income Tax Act.

3. The balanced approach

Most experts converge on a middle path.

As Laxminarayan puts it, "The idea should be to be diversified. Unilateral moves are generally ill-advised."

This reflects how global investors typically behave, allocating assets across geographies, currencies, and life goals.

A hybrid allocation between India and global markets is often the most sensible approach, though it ultimately depends on individual goals and future plans. For those returning to India permanently, gradually repatriating investments can improve alignment and efficiency. At the same time, maintaining global exposure helps preserve diversification benefits and reduces concentration risk.

Sawrikar also highlights a structural limitation: access. "Private equity, global technology plays, and niche asset classes are often easier to access while keeping money abroad," he explains.

Mistakes to avoid

Among the most common mistakes made by returning NRIs is approaching their finances without a structured investment framework in place.

In many cases, once funds are repatriated through formal banking channels, they are quickly deployed into products that are actively pushed rather than carefully evaluated. This often results in NRIs falling for mis-selling, especially when decisions are driven by recent performance trends instead of long-term suitability.

Another frequently underestimated factor is the importance of choosing the right investment adviser. "Without a process-driven, objective approach, investors can end up with fragmented portfolios and suboptimal outcomes that do not align with their long-term goals," cautions Gahlaut.

At a broader level, all investing involves risk, regardless of geography. Concentrating wealth in a single country exposes investors to both country-specific and currency risks. At the same time, familiarity with the home market often helps investors stay invested through volatility, an important factor in long-term wealth creation.

Laxminarayan believes, "If earning in a dollar-based economy, chances are that some might question why they are sending more money into a country with a depreciating currency, while they can buy similar assets or similar-yielding assets outside and keep the dollar back."

Ideal allocation

There is no one-size-fits-all approach to asset allocation. The right mix depends on an individual's goals, overall balance sheet, and future needs. "The ideal allocation to global assets should be in the range of 10% to 50%, depending on each person's thought process and time horizon," says Kohli.

In practice, allocation should mirror life goals. Those with overseas commitments, such as children's education or the possibility of relocation, may require higher global exposure. Conversely, individuals with largely India-centric needs can afford to tilt more heavily toward domestic assets.

Opportunities across geographies—from US technology equities to US real estate—may also shape allocation decisions. Ultimately, portfolios should be driven by objectives, not geography.

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Portfolio recipe

Equal-weight portfolio claims top spot in early 2026

For best results, it's best not to get swayed by any one asset class. Experts recommend diversification. While asset allocation is the way to go, what's the best combination? Every investor has their own asset allocation. This week, we compare seven portfolio combinations. Portfolios with gold have delivered a notable returns boost in recent years, while those with zero gold exposure have lagged. By **Sameer Bhardwaj.**

The Economic Times wealth

Rank	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*	10-year return
1	Equity: 70% Debt: 20% Gold: 10% **(26.0%)**	Equity: 20% Debt: 60% Gold: 20% **(4.3%)**	Equity: 34% Debt: 33% Gold: 33% **(13.7%)**	Equity: 34% Debt: 33% Gold: 33% **(18.2%)**	Equity: 70% Debt: 20% Gold: 10% **(20.9%)**	Equity: 34% Debt: 33% Gold: 33% **(5.9%)**	Equity: 70% Debt: 20% Gold: 10% **(20.4%)**	Equity: 34% Debt: 33% Gold: 33% **(14.4%)**	Equity: 34% Debt: 33% Gold: 33% **(28.2%)**	Equity: 34% Debt: 33% Gold: 33% **(2.4%)**	Equity: 70% Debt: 20% Gold: 10% **(12.4%)**
2	Equity: 60% Debt: 40% Gold: 0% **(22.9%)**	Equity: 34% Debt: 33% Gold: 33% **(3.2%)**	Equity: 20% Debt: 60% Gold: 20% **(12.6%)**	Equity: 50% Debt: 30% Gold: 20% **(17.1%)**	Equity: 60% Debt: 40% Gold: 0% **(19.1%)**	Equity: 20% Debt: 60% Gold: 20% **(4.6%)**	Equity: 60% Debt: 30% Gold: 10% **(18.6%)**	Equity: 70% Debt: 20% Gold: 10% **(14.2%)**	Equity: 20% Debt: 60% Gold: 20% **(19.8%)**	Equity: 20% Debt: 60% Gold: 20% **(1.7%)**	Equity: 34% Debt: 33% Gold: 33% **(12.4%)**
3	Equity: 60% Debt: 30% Gold: 10% **(22.8%)**	Equity: 50% Debt: 30% Gold: 20% **(1.7%)**	Equity: 50% Debt: 30% Gold: 20% **(11.5%)**	Equity: 70% Debt: 20% Gold: 10% **(16.5%)**	Equity: 60% Debt: 30% Gold: 10% **(18.3%)**	Equity: 50% Debt: 30% Gold: 20% **(4.3%)**	Equity: 60% Debt: 40% Gold: 0% **(18.1%)**	Equity: 50% Debt: 30% Gold: 20% **(14.0%)**	Equity: 50% Debt: 30% Gold: 20% **(19.6%)**	Equity: 50% Debt: 30% Gold: 20% **(-1.3%)**	Equity: 50% Debt: 30% Gold: 20% **(12.1%)**
4	Equity: 50% Debt: 40% Gold: 10% **(19.6%)**	Equity: 50% Debt: 40% Gold: 10% **(1.6%)**	Equity: 50% Debt: 40% Gold: 10% **(10.3%)**	Equity: 60% Debt: 30% Gold: 10% **(16.1%)**	Equity: 50% Debt: 40% Gold: 10% **(15.7%)**	Equity: 50% Debt: 40% Gold: 10% **(3.2%)**	Equity: 50% Debt: 30% Gold: 20% **(17.4%)**	Equity: 60% Debt: 30% Gold: 10% **(13.6%)**	Equity: 50% Debt: 40% Gold: 10% **(13.1%)**	Equity: 50% Debt: 40% Gold: 10% **(-2.9%)**	Equity: 60% Debt: 30% Gold: 10% **(11.8%)**
5	Equity: 50% Debt: 30% Gold: 20% **(19.5%)**	Equity: 60% Debt: 30% Gold: 10% **(0.7%)**	Equity: 60% Debt: 30% Gold: 10% **(10.0%)**	Equity: 20% Debt: 60% Gold: 20% **(15.7%)**	Equity: 50% Debt: 30% Gold: 20% **(14.9%)**	Equity: 60% Debt: 30% Gold: 10% **(3.1%)**	Equity: 50% Debt: 40% Gold: 10% **(16.8%)**	Equity: 50% Debt: 40% Gold: 10% **(13.0%)**	Equity: 60% Debt: 30% Gold: 10% **(13.0%)**	Equity: 60% Debt: 30% Gold: 10% **(-3.8%)**	Equity: 50% Debt: 40% Gold: 10% **(11.2%)**
6	Equity: 34% Debt: 33% Gold: 33% **(14.4%)**	Equity: 60% Debt: 40% Gold: 0% **(0.7%)**	Equity: 70% Debt: 20% Gold: 10% **(9.6%)**	Equity: 50% Debt: 40% Gold: 10% **(15.7%)**	Equity: 34% Debt: 33% Gold: 33% **(9.6%)**	Equity: 70% Debt: 20% Gold: 10% **(3.0%)**	Equity: 34% Debt: 33% Gold: 33% **(15.3%)**	Equity: 60% Debt: 40% Gold: 0% **(12.6%)**	Equity: 70% Debt: 20% Gold: 10% **(12.9%)**	Equity: 70% Debt: 20% Gold: 10% **(-4.8%)**	Equity: 60% Debt: 40% Gold: 0% **(10.9%)**
7	Equity: 20% Debt: 60% Gold: 20% **(10.1%)**	Equity: 70% Debt: 20% Gold: 10% **(-0.1%)**	Equity: 60% Debt: 40% Gold: 0% **(8.8%)**	Equity: 60% Debt: 40% Gold: 0% **(14.7%)**	Equity: 20% Debt: 60% Gold: 20% **(7.0%)**	Equity: 60% Debt: 40% Gold: 0% **(2.0%)**	Equity: 20% Debt: 60% Gold: 20% **(12.1%)**	Equity: 20% Debt: 60% Gold: 20% **(12.2%)**	Equity: 60% Debt: 40% Gold: 0% **(6.5%)**	Equity: 60% Debt: 40% Gold: 0% **(-5.5%)**	Equity: 20% Debt: 60% Gold: 20% **(10.4%)**

Balanced portfolios match equity gains over the long term

The 2026 year-to-date performance reflects a turbulent market marked by heightened volatility and a prevailing risk-off sentiment. Of the seven asset allocation strategies tracked, five have delivered negative returns.

The standout theme is diversification. In a year where most portfolios are under pressure. The equal-weight portfolio has emerged as the strongest performer. By avoiding overexposure to any single asset class, it has effectively cushioned downside risk. Equities, on the other hand, have been the primary drag. The portfolio with the highest equity allocation (70%) recorded a sharp decline of 4.8%. Yet, the weakest performer overall was the portfolio with no gold exposure, underscoring gold's critical role as a hedge.

Debt has offered some stability, but its impact has been modest. With yields muted, fixed income has functioned more as a defensive anchor than a growth driver.

Long-term performance

Over the longer horizon, equities remain the dominant growth engine. The 70% equity portfolio leads, confirming its strength as a growth-oriented strategy.

Diversification again demonstrates its value. Across the decade, both the equal-weight and high-equity portfolios produced the same robust 12.4% return, showing that a balanced allocation can match equity-driven growth while reducing volatility and drawdown risk.

Source: ACE MF. *2026 data is YTD based on 17 March 2026 closing values. Other years' returns are calculated between the first and the last trading day closing values. Numbers in brackets are the weighted average return (or portfolio return) of the respective investment allocation. 10-year weighted average return is based on compounded returns of the respective assets. Benchmarks used: Equity: Nifty 500 Index, Debt: Crisil Composite Bond Index, Gold: Nippon India ETF Gold BeES.

SMART STATS

ET WEALTH TOP 50 STOCKS

Every week we put about 3,000 stocks through four key filters and rate them on a mix of factors. The end result of this is the listing of the top 50 stocks based on the composite rating to help ease your fortune hunt.

How precious metals shone

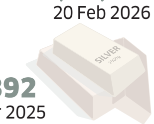
Gold (995) (₹) price of 10 g

1,46,628
20 Mar 2026

88,152
20 Mar 2025

Silver (₹) price of 1 kg

2,32,364
20 Feb 2026



98,392
20 Mar 2025

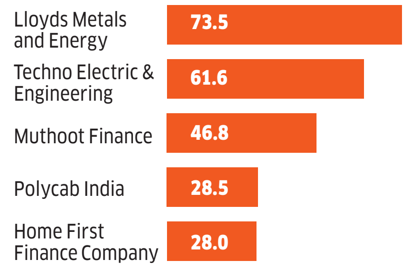
Source: IBJA

	RANK		PRICE ₹	GROWTH%*		VALUATION RATIOS				RATING	
	Current Rank	Previous Rank	Stock Price	Revenue	Net Profit	PE	PB	PEG (5-year)	Div Yield (%)	No. of funds	Value Research Stock Rating
Power Finance Corporation	1	1	412	14	13	5.4	1.0	0.2	3.8	111	★★★★★
CSB Bank	2	2	375	26	12	10.5	1.4	1.1	0.0	19	★★★★★
Bank of Maharashtra	3	4	63	19	16	7.4	1.5	0.4	2.4	7	★★★★★
Muthoot Finance	4	3	3306	47	76	15.6	3.8	0.3	0.8	72	★★★★★
Home First Finance Company India	5	5	959	28	22	20.3	2.4	0.5	0.4	40	★★★★★
City Union Bank	6	6	244	15	15	14.4	1.8	0.9	0.8	43	★★★★★
State Bank of India	7	51	1049	6	3	11.6	1.7	2.2	1.5	227	★★★★★
Infosys	8	9	1221	8	2	17.7	5.4	3.8	3.5	244	★★★★
SBI Cards & Payments Services	9	8	695	11	2	31.6	4.3	2.5	0.4	84	★★★★
Repco Home Finance	10	7	354	5	1	4.8	0.6	0.7	1.1	10	★★★★★
National Aluminium Company	11	12	377	20	46	11.3	3.2	0.3	2.8	35	★★★★★
IndiaMART InterMESH	12	11	2019	13	29	20.2	5.2	0.7	2.5	29	★★★★★
DCB Bank	13	10	170	17	17	7.8	0.9	0.5	0.8	20	★★★★★
AU Small Finance Bank	14	13	902	22	14	29.3	3.6	1.6	0.1	57	★★★★★
Sundaram Finance	15	14	4821	13	29	26.1	3.4	2.0	0.7	22	★★★★★
Emami	16	17	405	2	0	22.4	5.5	16.8	2.5	58	★★★★★
Gujarat Pipavav Port	17	18	149	11	39	14.8	2.9	1.1	5.5	9	★★★★★
eClerx Services	18	21	1457	21	31	20.6	4.8	0.7	0.0	29	★★★★
Gujarat State Fertilisers & Chemicals	19	20	155	7	27	8.9	0.5	0.3	3.2	6	★★★★
PNB Housing Finance	20	19	788	12	20	9.4	1.1	0.7	0.6	92	★★★★★
Pfizer	21	15	4723	11	39	25.3	5.4	1.2	3.5	31	★★★★
Hindustan Zinc	22	33	507	11	25	18.1	12.2	1.0	5.7	13	★★★★★
Adani Ports and SEZ	23	24	1356	24	22	25.0	3.6	1.3	0.5	56	★★★★
Nippon Life India AMC	24	22	856	19	8	37.8	11.4	4.5	2.1	58	★★★★★
Transport Corporation of India	25	28	944	9	13	16.2	2.9	1.4	0.8	7	★★★★★
Chambal Fertilisers & Chemicals	26	26	427	21	18	8.9	1.6	0.4	2.4	14	★★★★
Glaxosmithkline Pharma	27	27	2378	3	19	39.5	20.1	2.3	2.3	48	★★★★
Caplin Point Laboratories	28	29	1622	11	19	20.1	3.7	1.1	0.4	8	★★★★
Esab India	29	25	5274	10	22	38.6	17.7	2.9	1.7	8	★★★★★
Hero Motocorp	30	30	5180	9	31	19.2	4.7	0.7	3.2	107	★★★★★
Oracle Financial Services Software	31	48	6360	8	6	22.8	7.0	3.6	4.1	41	★★★★
Maruti Suzuki India	32	31	12591	14	3	26.5	3.8	11.3	1.1	192	★★★★★
VRL Logistics	33	32	241	2	83	17.7	3.7	0.3	3.1	17	★★★★★
Hindustan Aeronautics	34	53	3802	2	2	28.6	6.5	12.2	1.1	91	★★★★
LG Balakrishnan & Brothers	35	34	1738	16	16	16.6	2.7	0.8	1.2	6	★★★★★
Eicher Motors	36	38	6792	26	20	34.8	8.0	1.8	1.0	89	★★★★★
Mas Financial Services	37	36	293	26	13	15.2	1.8	0.5	0.6	13	★★★★★
Techno Electric & Engineering	38	23	1095	62	30	25.8	3.2	0.6	0.8	30	★★★★
Bharat Petroleum Corporation	39	39	286	2	79	5.0	1.2	0.1	3.5	90	★★★★★
Lloyds Metals and Energy	40	52	1185	73	56	27.4	5.8	0.2	0.1	17	★★★★
Grindwell Norton	41	41	1396	5	5	39.7	6.5	6.0	1.2	48	★★★★
Jindal Stainless	42	40	708	8	22	19.9	3.1	0.6	0.4	31	★★★★
Voltamp Transformers	43	37	8412	19	10	24.2	4.9	2.6	1.2	17	★★★★★
The Federal Bank	44	56	266	5	1	16.1	1.8	2.1	0.4	99	★★★★★
IRCTC	45	42	526	10	15	29.7	9.1	2.3	1.5	24	★★★
Polycab India	46	43	7169	29	43	41.3	9.7	1.1	0.5	48	★★★★
Elgi Equipments	47	50	467	13	25	36.8	7.1	1.2	0.5	6	★★★★
Escorts Kubota	48	63	2879	9	95	13.6	2.7	5.1	1.0	39	★★★★
Torrent Power	49	61	1447	-1	29	23.1	3.8	0.7	1.3	54	★★★★
Shivalik Bimetal Controls	50	46	396	7	11	25.1	4.9	1.5	0.7	19	★★★★

*REVENUE AND EPS FIGURES BASED ON ONE-YEAR GROWTH. DATA AS ON 20 MAR 2026. PERCENTAGES & RATIOS ROUNDED OFF TO ONE DECIMAL PLACE. **SOURCE:** VALUE RESEARCH

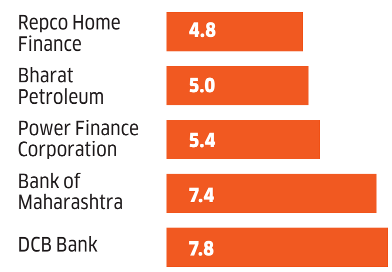
1 Fast growing stocks

Top 5 stocks with the highest revenue (1-year) growth (%)



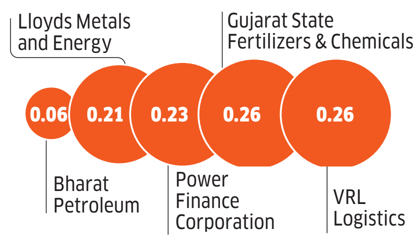
2 Least expensive stocks

Top 5 stocks with the lowest price-to-earnings ratio



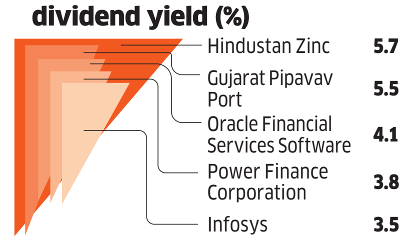
3 Best PEGs

Top 5 stocks with the lowest price earnings-to-growth ratio



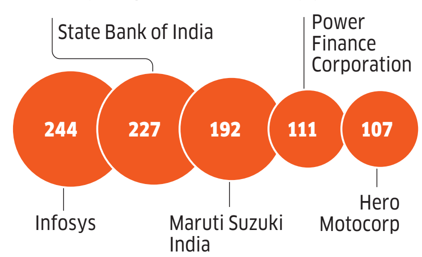
4 Income generators

Top 5 stocks with the highest dividend yield (%)



5 Most widely held

Top 5 stocks held by the most number of mutual funds



STOCKS IN THE ABOVE CATEGORIES ARE SELECTED FROM THE OVERALL TOP-50 STOCKS.

Q&A

Our panel of experts will answer questions related to any aspect of personal finance.

My son has taken foreign citizenship. I would like to gift him all my gold jewellery. How should I do this? Will he be allowed to take all abroad? What are the tax implications of this? *– Rani Deshpande*

You can execute a gift deed in favour of your son, clearly listing the jewellery items along with detailed valuation specifications, purchase invoices, and, ideally, photographs of each item to create a comprehensive record.

It's optional but would be useful to include descriptions such as weight, purity, and distinguishing features, as this strengthens documentation and helps in case questions arise in the future from tax or regulatory authorities. Gifts to blood relatives in India are tax-free, so this transfer will not attract any tax liability in India. However, your son should carry a customs declaration when taking the jewellery abroad and retain all supporting documents, including the gift deed, invoices, and valuation details, for any queries by authorities. Additionally, it is important to check the applicable laws in his country of residence regarding declaration requirements, import duties, and taxation, as these can vary significantly and must be complied with beforehand to avoid complications.

Shubham Agrawal
Senior Taxation Adviser, TaxFile.in

I am an NRI working in the USA and paying tax there. I have recently opened NRE and NRO accounts in India. I seek clarifications on whether interest from an NRE rupee account is fully tax-free and reportable as exempt income; whether NRIs need a separate ITR form or can use ITR-1/ITR-2; whether tax slabs and rebates differ for NRIs; and whether long- and short-term capital gains from shares held in a demat account linked to my NRE account are taxed in the same way as for resident taxpayers. *– Anwesha Bhattacharya*

For an NRI, interest on an NRE rupee account is fully exempt from tax in India as long as the non-resident status continues. Though exempt, it is advisable to disclose it as exempt income in the return. Interest on an NRO account is taxable.

NRIs cannot use ITR-1. There is no separate ITR form for NRIs; typically, ITR-2 is applicable (ITR-3, if there is business/professional income). Tax slabs are the same as for residents, but rebates under section 87A and senior citizen benefits are not available to NRIs. Capital gains on shares are taxed the same as residents—20% for STCG and 12.5% for LTCG (above ₹1.25 lakh)—but TDS is automatically deducted at source for NRIs.

Umesh Kumar Jethani
Founder, ApkiReturn

I am a retiree with a corpus of ₹15 lakh in a mutual fund, earmarked for my daughter in Class 10. If I start a Systematic Withdrawal Plan (SWP), will the withdrawals be taxable? How much can I redeem without attracting tax? *– V. Prakash*

Systematic Withdrawal Plan taxation applies only to the capital gains component of each withdrawal, and not to the entire redemption amount. Given that most children's mutual funds are structured as equity-oriented hybrid funds with a 5-year lock-in period, withdrawals can be made only from long-term units (which qualify after a year of investment).

The SWP should be structured such that the aggregate long-term capital gains (LTCG) from listed equity shares and equity mutual funds do not exceed ₹1.25 lakh in a financial year, thereby remaining within the applicable exemption limit. It is also important to confirm that the units are not subject to any lock-in period or exit restrictions, prior to initiating withdrawals.

Sumit Duseja,
Co-Founder & CEO, Truemind Capital
(Sebi-registered investment adviser)

Please send your queries to *etwealth@timesofindia.com*, mentioning your full name and city of residence.

Old regime gets a boost under the new tax rules

by **Preeti Kulkarni**

Starting 1 April, Indian taxpayers will transition to the new Income Tax Act, 2025. The stated aim is to simplify language, eliminate obsolete provisions, and reduce compliance burden and litigation. With the Central Board of Direct Taxes (CBDT) notifying the final income tax rules on 20 March, the shift is now set in motion. The new Act introduces the concept of a "tax year", replacing the "financial year" under the current Income Tax Act, 1961.

The old tax regime's comeback?

Since Budget 2025, the new income tax regime has emerged as a clear winner with lower tax rates, friendlier tax slabs, and higher exemption and rebate limits.

However, now that the draft rules have been finalised, from 1 April, income taxpayers will have to do the math once again to ascertain the tax regime that yields the maximum tax savings. This is because the new income tax rules have hiked the exemption limits for allowances—available only under the old regime—such as children's education, hostel expenses, meal benefits, and so on.

In addition, now, salaried individuals in Bengaluru, Pune, Hyderabad and Ahmedabad will be eligible for house rent allowance (HRA) exemption of up to 50% of their basic salary, up from 40%. Put simply, the new rules have brought these cities on par with Delhi, Mumbai, Chennai and Kolkata.

Higher allowance limits

In keeping with rising living and education costs, the rules have increased the monthly tax-exempt allowances for children's education and hostel expenses from ₹100 and ₹300 to ₹3,000 and ₹9,000, respectively (per child, up to two children). Likewise, the tax-free limit per meal or refreshment benefit will increase from ₹50 to ₹200. These benefits are allowed only under the old tax regime, rekindling the old vs new tax regimes debate.

Despite the heightened interest in the old regime now, *ET Wealth* calculations suggest that unless HRA is claimed, those earning over ₹25 lakh would save only about ₹21,000-25,000, compared to the new regime, even after fully utilising the new allowance limits. Moreover, as per recruitment consulting firm Teamlease Digital, only around 10-15% of corporates in India include such allowances in their salary structures, with children's education being offered primarily by public sector and older private organisations.

"It remains to be seen how proactively corporates respond to the evolving changes under the rules. This opens up a structured opportunity for organisations and their personnel teams to rationalise and optimise compensation design," says chartered accountant Himank Singla, Founder, SBHS and Associates.

HRA, the needle mover

As is the case now, it's the HRA exemption that will be the deciding factor. Salaried individuals who live on rent and claim HRA along with children's education expenses, meal benefits and so on, will save big under the old tax regime.

For taxpayers without HRA, tax savings under the old regime are likely to be limited and hence, the new regime with lower compliance burden could still be the preferred choice. Taxpayers who pay rent to their parents and claim HRA exemption will also have to deal with increased paperwork. The new ITR forms require them to mention their relationship with the landlords, if any. Those availing of such exemptions should ensure that they have valid rent agreements and receipts, and parents report the rent received as income in their ITR forms.

Motor cars

The new rules have also revised the taxable perquisite value of employer-provided motor cars. "This will result in higher tax liability under both regimes. However, the revision was long overdue, given rising inflation," says Mayank Mohanka, Founder, TaxAaram.com.

preeti.kulkarni@timesofindia.com

Apropos the story 'Three crashes, seven portfolios, one lesson: Diversification works', the last 25 years have seen seven major global market panics. Despite these setbacks, the S&P 500 in the US has grown over sixfold. The Indian market, too, has faced its share of challenges, including the Kargil war, demonetisation, and the COVID-19 pandemic. However, it has shown resilience and bounced back stronger each time. The market moved with volatility and survived long standing trials and tribulations.
Jayanthy Subramaniam

This is in reference to the story 'Typos can derail your insurance claim'. To find grounds for rejecting claims, TPAs/Insurance companies are scrutinising them with a fine-tooth comb. Health Insurance, being a welfare measure, needs to be handled with empathy. While submitting a claim, discharge summary must be scrutinised carefully, clarifications need to be obtained on abbreviations used, and implications need to be studied.
Hemanth D. Pai

Emotional discipline

The analysis in the cover story spanning 25 years of market turbulence makes a compelling case for diversification, but it risks oversimplifying investor behaviour. Knowing that diversification works and actually staying invested through a 30–60% drawdown are very different things. The data on portfolio recovery is convincing, but the harder problem remains emotional discipline. Financial advisers often focus on asset allocation while underestimating how fear distorts decision-making at market bottoms. Perhaps the more urgent conversation is about building investor temperament alongside investment frameworks.
A. Myilsami

The cases of rejection due to typos highlighted in the story expose a systemic gap beyond individual negligence. Hospitals generate discharge summaries under pressure, and errors are almost inevitable. The real problem is that insurers treat these documents as definitive rather than provisional. A pre-discharge review mechanism, where patients verify key medical details before leaving, could prevent much of this grief. Regulators should also consider mandating a correction window after claim submission rather than burdening patients with notarised letters post-rejection.
Abbharna Barathi

The article 'Homing in on NRI property trap' lists out the long-lasting repercussions of NRI investments in immovable assets here. While it appears nostalgic and lucrative to pass such assets on to the next generation, a deep dive shows it to be more damaging: NRIs may never recover dues due to the complexity of freeing them up from one's relatives, the asset may not be leaseable, or children may not be interested in keeping it.
Reshma Pai Korde

I read Uma Shashikant's column with profound interest. If Indians living abroad do not want to return, it is pointless to own a house here. Having said that, the ongoing war in West Asia has made the Indian diaspora consider working here in peace for a lower pay than in a foreign country with lucrative salaries and perks. All they need now is a decent house without any legal complication.
S. Ramakrishnasayee

Please send your feedback to
etwealth@timesofindia.com

Foreign investors: FPI vs FII vs FDI

If you are confused by personal finance terms, jargon and calculations, here's a series to simplify and deconstruct these for you. In the 95th part of this series, **Riju Mehta** explains the difference between the different investor categories.

Foreign Portfolio Investor (FPI)

These are individuals or entities who invest in the financial assets of another country. The instruments can include stocks, mutual funds, bonds, exchange-traded funds and government securities. The investors do not have any ownership rights or control over the company and its management. The FPIs in India are regulated by the Securities and Exchange Board of India (SEBI) under the Foreign Exchange Management Act (FEMA).

Foreign Institutional Investor (FII)

These are institutions, not individuals, that invest in the financial assets of another country. These include mutual funds, pension funds, hedge funds, insurance companies, sovereign wealth funds, foreign central banks, among others. They also invest in instruments like stocks, mutual funds and government securities, but are not involved in the management or ownership of the companies they invest in.

These are also regulated by the SEBI and monitored by the Reserve Bank of India (RBI). They legally fall under the FPI framework and are considered its sub-category. Hence, all FIIs are FPIs, but all foreign portfolio investors are not foreign institutional investors.

	FDI	FPI	FII
Investor type	Individuals or entities	Individuals or entities	Institutions
Invest in	Physical assets	Financial assets	Financial assets
Investing period	Long-term investment	Short-term for quick returns	Medium-term investments
Control	Has ownership and management control	No management control	No management control
Liquidity	Low	High	High
Regulator	DPIIT, RBI	SEBI, RBI	SEBI, RBI

Foreign Direct Investment (FDI)

This refers to the investments made by foreign entities in the physical assets of

a country. These can include infrastructure, industries, businesses and other projects.

It is typically a long-term investment aimed at securing control of the management in the project in which the investment is being made. The investing entity brings capital, technology, skills and know-how to the company it has invested in and is involved in its day-to-day operations.

These are regulated by the Department for Promotion of Industry and Internal Trade (DPIIT), under the Ministry of Commerce and Industry, and monitored by the RBI under FEMA.

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